

Forecasting Recent College Graduate Unemployment

An analytical deep dive into unemployment trends among recent college graduates using a custom SARIMA model.

View [GitHub Repository](#).

Gourav Pal



Exploratory Data Analysis: Setting the Stage

Our journey began with comprehensive data collection from diverse sources to understand the landscape of recent college graduate unemployment.

Federal Reserve Economic Data (FRED)

Utilized Python to pull data on unemployment rates for college graduates (Bachelor's Degree, 20-24 years), national unemployment rates, and non-college graduate rates for the same age group.

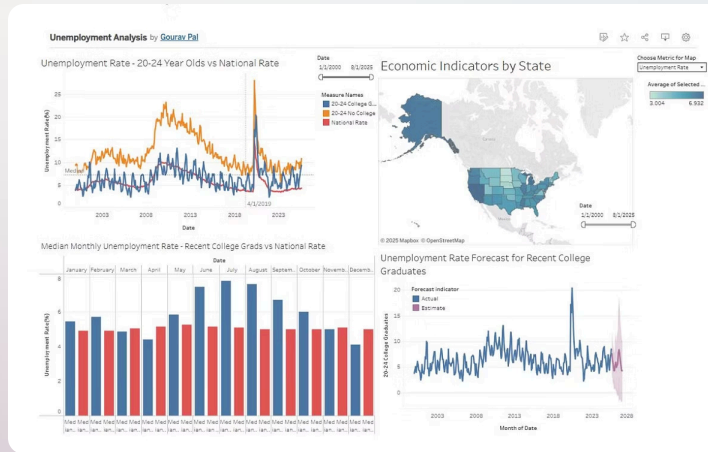
[Series Link: Unemployment Rate College Graduates](#)

State-Level Economic Indicators

Web scraping techniques were employed to gather monthly data (2000-2025) on Unemployment, Labor Force Participation Rate, and Minimum Wage from all 50 states, totaling 145 different series.

Note: Alabama, Louisiana, Mississippi, South Carolina, and Tennessee lack state-specific minimum wage data.





Visualizing the Data: An Interactive Dashboard

All collected data was integrated into an interactive Tableau dashboard, revealing crucial patterns and shifts in unemployment rates.

This dashboard served as the foundation for identifying key insights and anomalies in the labor market for recent graduates.

[View Interactive Dashboard](#)

Correlation Analysis: Unpacking Economic Factors

Examining the relationships between unemployment, labor force participation, and minimum wage across states provided unexpected results.

Unemployment & Minimum Wage

Correlation: -0.22

Unemployment & Labor Force Participation

Correlation: -0.28

Labor Force Participation & Minimum Wage

Correlation: -0.24

These values suggest no statistically significant relationship among these variables within the collected data (2000-2025).



Key Insights: Shifting Dynamics & Seasonal Patterns

Analysis of the interactive dashboard highlighted two significant trends:



National vs. Graduate Unemployment

Historically, the National Unemployment Rate mirrored that of recent college graduates. However, since 2019, the recent college graduate unemployment rate has consistently remained above the national average for over three years.

Pronounced Seasonal Peaks

A strong seasonal pattern exists for recent graduates, with unemployment peaking in summer due to new entrants in the job market, then decreasing in winter and spring as graduates secure employment.

SARIMA Model: Predictive Power

To forecast future unemployment rates, a custom Seasonal AutoRegressive Integrated Moving Average (SARIMA) model was developed in Python.

1

Model Customization

Leveraged Python for greater customizability compared to standard in-built features in platforms like Tableau.

2

Training & Validation

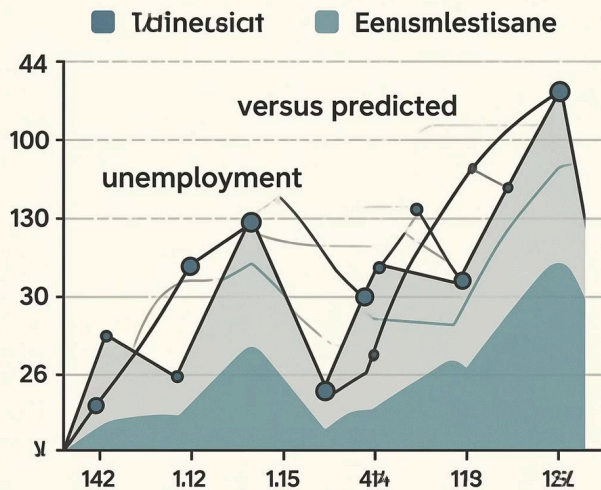
The model was trained on data from 2000–2021 and validated against a set from 2021–August 1, 2025.

3

Rolling Forecast Origin

Evaluated using a rolling forecast origin method, making one-step-ahead predictions and continuously updating the training set with actual values for robust validation.

SARIMA



SARIMA Model Performance & Forecast

The model demonstrated strong performance on validation and provided a clear outlook for future unemployment trends.



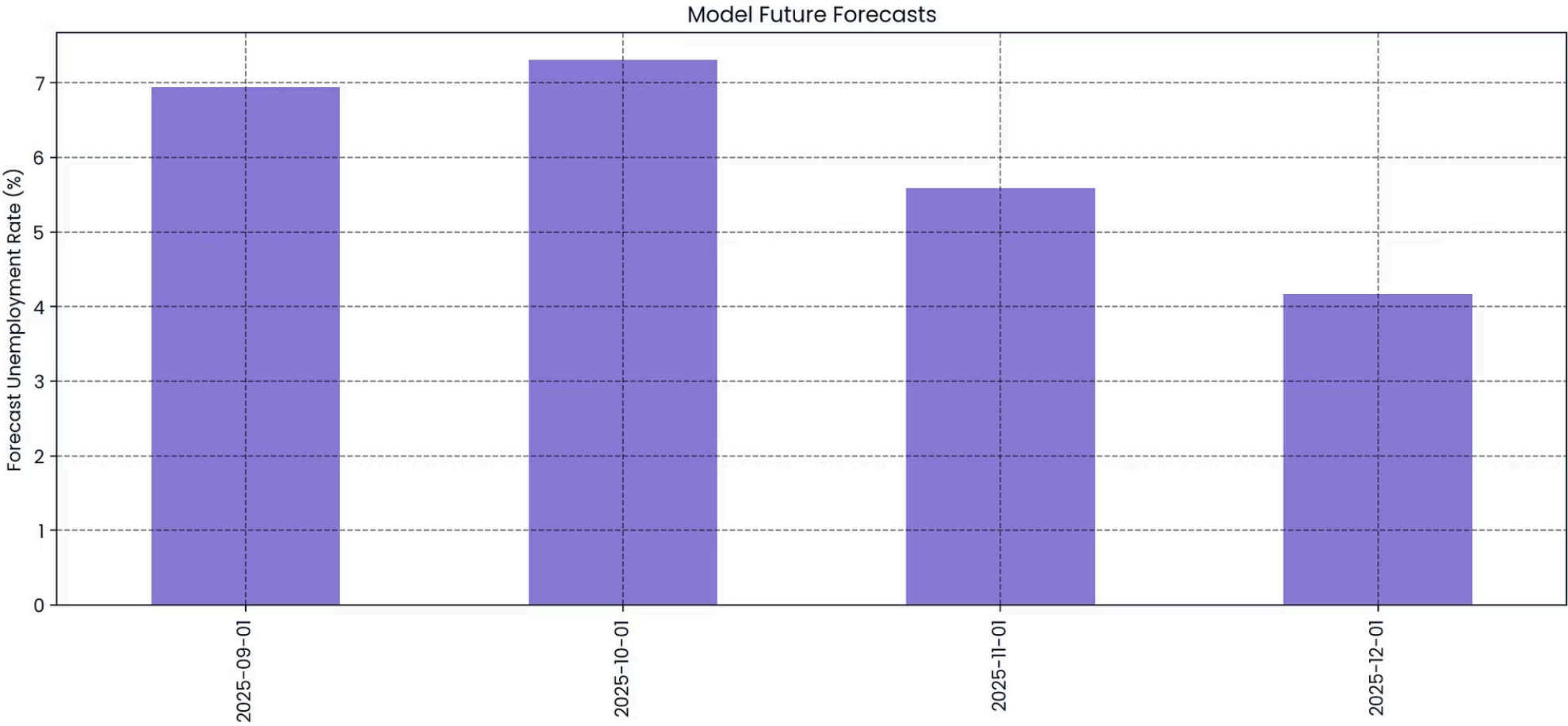
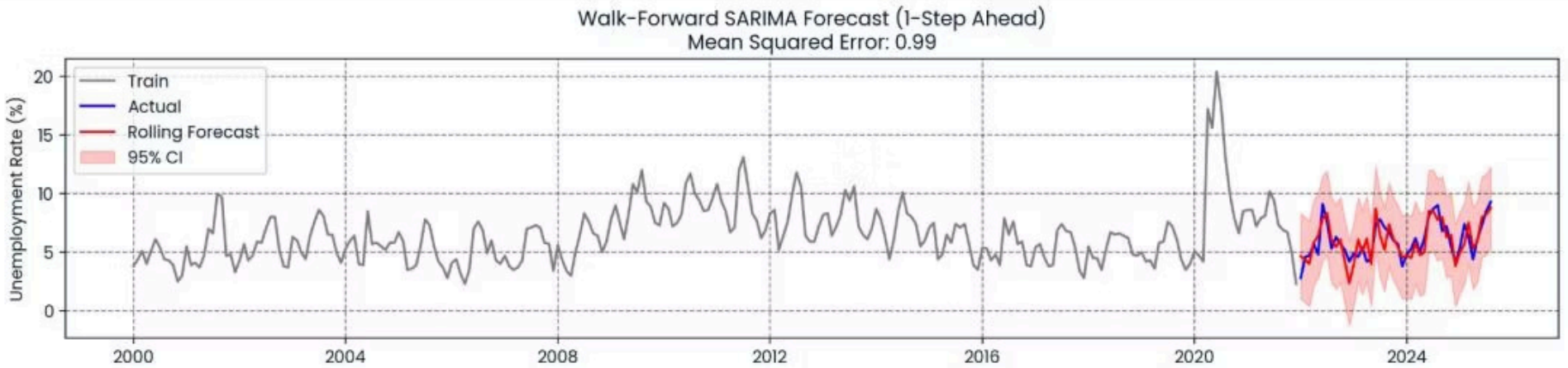
Validation Success

Achieved a Mean Squared Error (MSE) score of 0.99, indicating a very good fit for the scale of the data.



Confidence Intervals

The model's confidence intervals consistently enveloped the actual unemployment rates, reinforcing its reliability.



SARIMA Model Summary

SARIMAX Results						
Dep. Variable:		y	No. Observations:		308	
Model:		SARIMAX(1, 0, 1)x(0, 1, [], 12)	Log Likelihood		-586.439	
Date:		Sat, 25 Oct 2025	AIC		1178.877	
Time:		15:55:08	BIC		1189.948	
Sample:		01-01-2000	HQIC		1183.310	
		- 08-01-2025				
Covariance Type:		opg				
	coef	std err	z	P> z	[0.025	0.975]
ar.L1	0.7839	0.040	19.712	0.000	0.706	0.862
ma.L1	-0.1843	0.082	-2.255	0.024	-0.344	-0.024
sigma2	3.0718	0.080	38.452	0.000	2.915	3.228
Ljung-Box (L1) (Q):			0.12	Jarque-Bera (JB):	4052.13	
Prob(Q):			0.72	Prob(JB):	0.00	
Heteroskedasticity (H):			2.35	Skew:	0.69	
Prob(H) (two-sided):			0.00	Kurtosis:	21.07	

Future Forecast Summary (2025)

Date	predicted_mean	lower y	upper y
2025-09-01	6.94	3.51	10.38
2025-10-01	7.31	3.31	11.32
2025-11-01	5.59	1.27	9.9
2025-12-01	4.17	-0.33	8.67

Update: September 2025

Unemployment Rate

The September 2025 unemployment rate for college graduates came in higher than anticipated, indicating a divergence from typical seasonal patterns.

Actual vs. Forecast

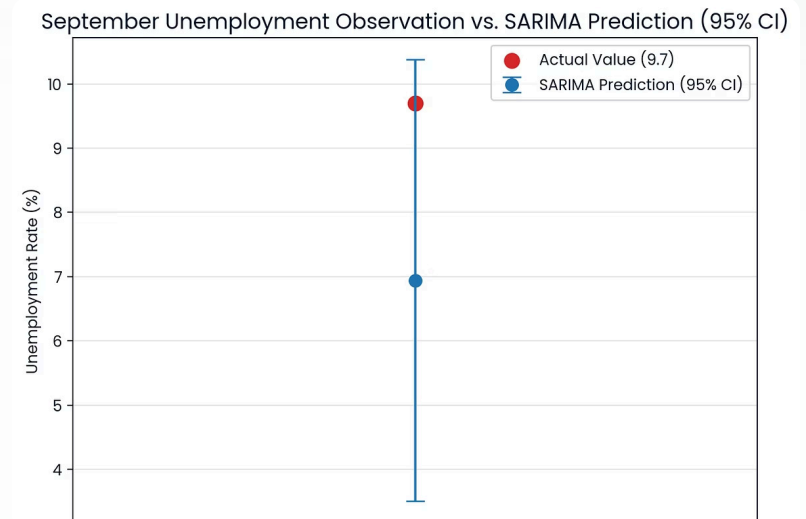
The actual rate for September was 9.7%, exceeding the model's expectation of a drop to approximately 7%.

Historically, September typically sees a rate of 6.7% for recent college graduates.

This unexpected increase suggests evolving economic conditions are impacting the entry-level job market.

Model Resilience

Despite the deviation, the SARIMA model's confidence intervals still successfully encompassed the actual rate, demonstrating its robust predictive range.



Longest Increase Streak: A Concerning Trend

Further analysis revealed a significant and rare occurrence in the unemployment rate for recent college graduates.

1

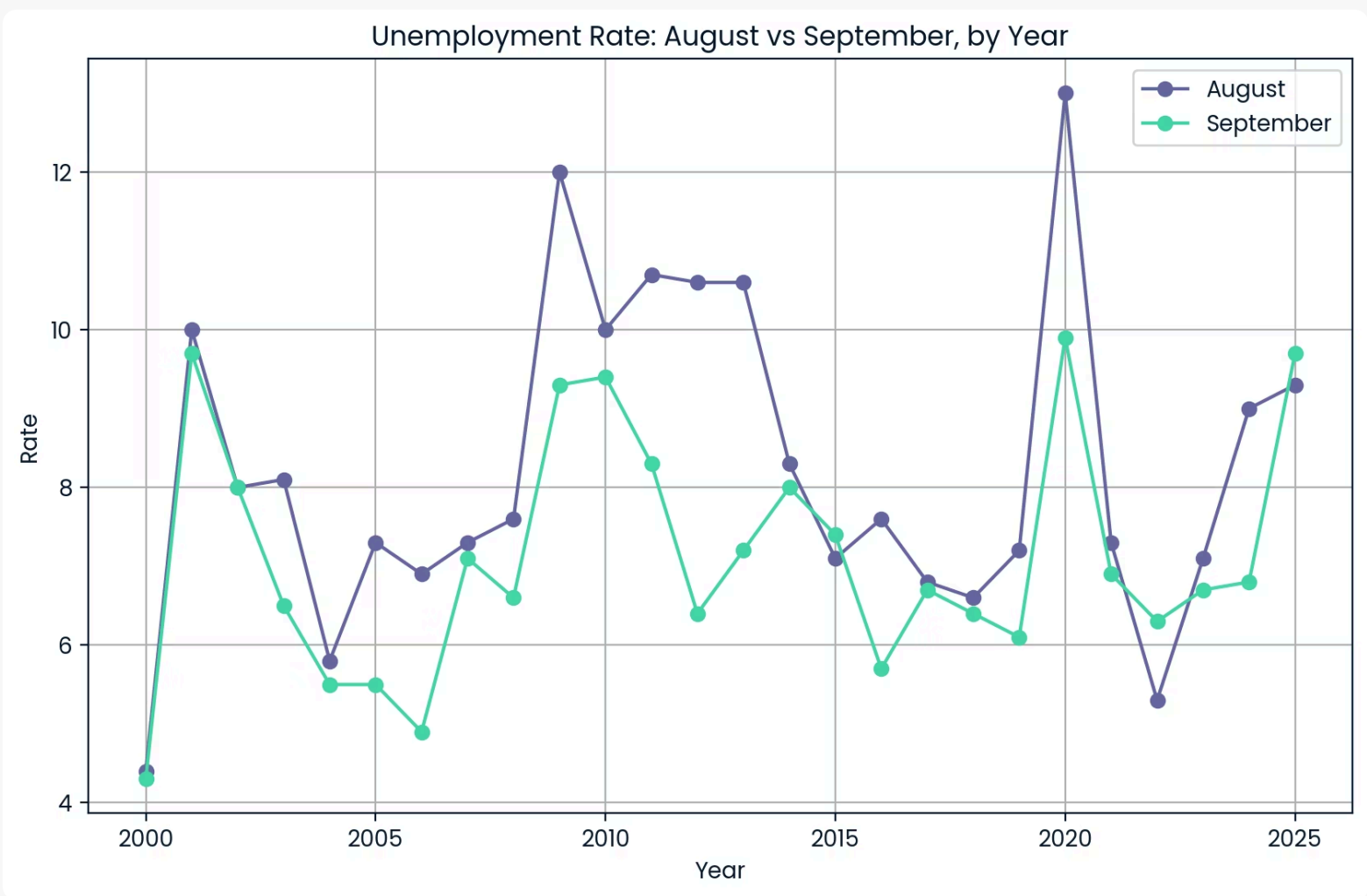
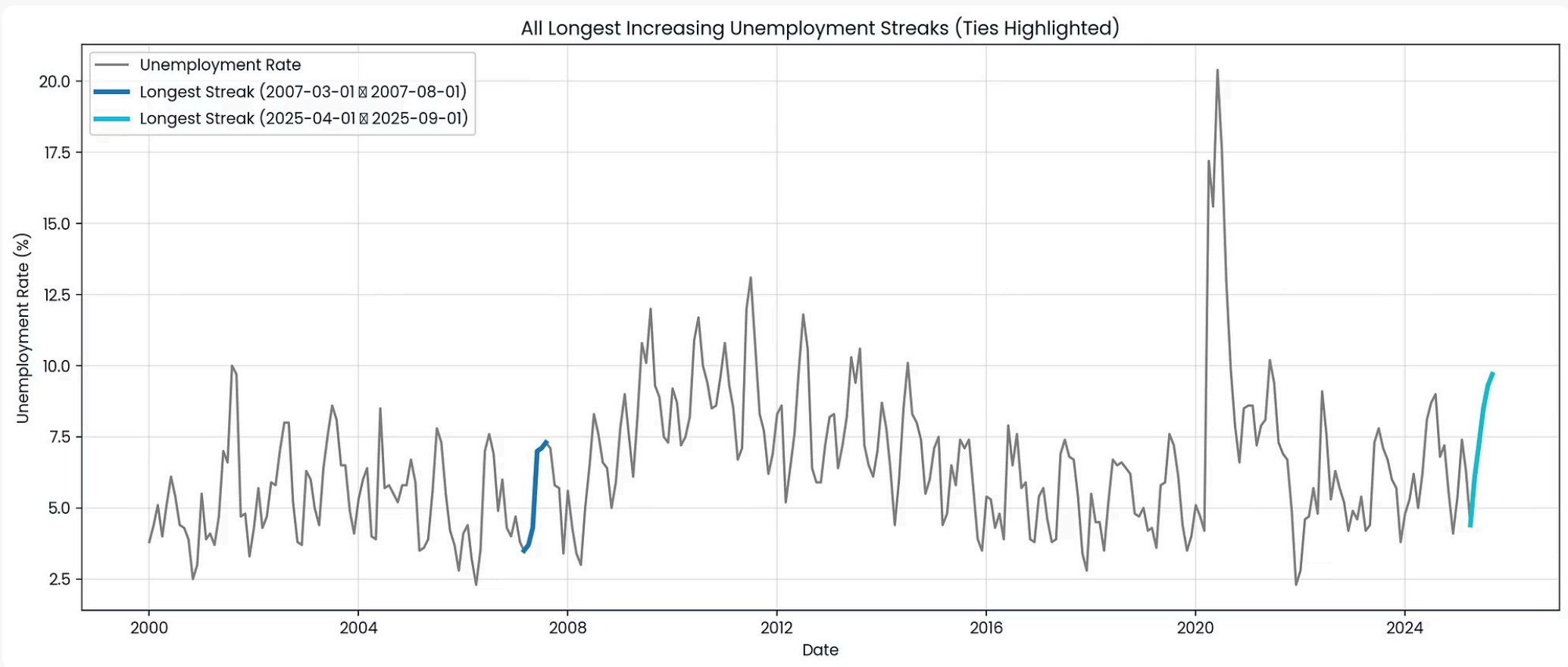
Historic Precedent

The current five-month consecutive increase in unemployment rates for recent college graduates has only occurred once before, in March 2007.

2

Slowing Job Market

This extended streak signals a potential slowdown in the job market, particularly for recent college graduates and entry-level positions.



The September rate for recent college graduates has only ever surpassed the August rate 2 times before the latest release (now 3 occurrences total).

Potential Factors Contributing to Rising Unemployment

Several macroeconomic and societal factors could be influencing the current increase in recent college graduate unemployment.

AI Advancements

Artificial Intelligence may be replacing entry-level roles traditionally filled by recent graduates. Job listings for entry-level corporate roles have declined 15%, while applications per job have surged 30%, showing AI's squeeze on new grads.
- CBS News - July, 2025

Economic Uncertainty

Broader economic concerns, tariffs, and restrictive regulations can slow hiring across sectors.

Small businesses employing 59 million Americans reported a 3% decline in employment due to tariff uncertainty - U.S. Congress Joint Economic Committee
- Minority - May, 2025

Graduate Over-supply

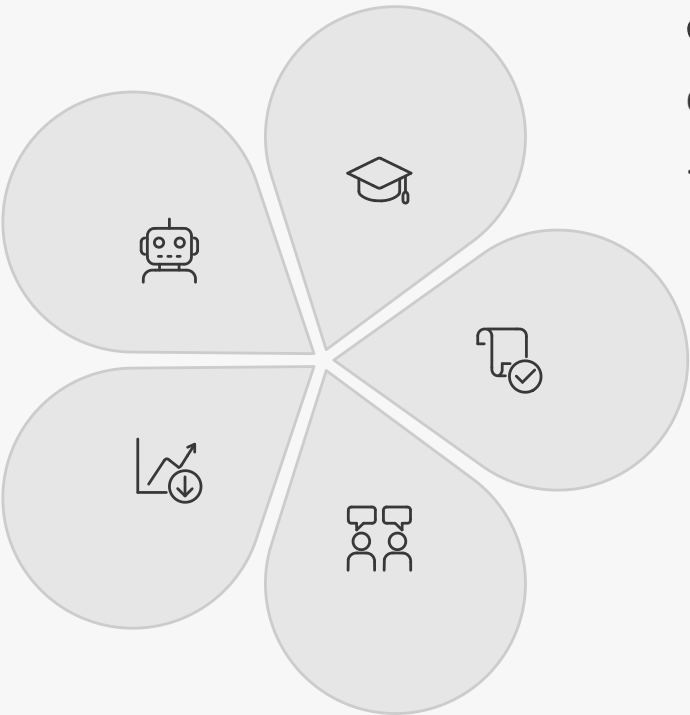
An increasing number of college graduates may be outstripping the demand for entry-level work. As much as 52% of college graduates are underemployed upon initial labor market entry. They are likely to stay that way— even 10 years after graduation, 45% of college graduates are underemployed, according to the Talent Disrupted report - Federal Reserve - August, 2025

Degree Value Erosion

Grade inflation and less competitive college environments might diminish the perceived value of a degree. College GPAs rose more than 16% from 1990–2020, with "A" now the most common grade awarded - US Department of Education - September, 2025

Political Polarization

Political instability and divided governance can lead to economic uncertainty, impacting job creation.



Understanding these intertwined factors is crucial for addressing the challenges faced by recent college graduates in the evolving labor market.